

The Coca-Cola Company

NYSE: KO | Consumer Staples — Beverages | 30 June 2026

ACCUMULATE Target Price: \$85 | CMP: \$82 (18-Jul-2026) | Total return: +6% (price +4% / 2.6% yield)

Investment Summary

Coca-Cola remains the archetypal quality defensive: an asset-light, brand-and-distribution machine that converts pricing power into steady mid-single-digit organic growth and expanding margins. FY2025 delivered net revenue of \$47.9 billion (+2% reported, +5% organic), net income of \$13.1 billion and EPS of \$3.04 (+23%), with operating margin widening to 28.7%. The dividend — a 60-plus-year growth streak — yields ~2.5%.

This is not a growth story; it is a compounding-and-income story. The question is valuation: at ~26x trailing earnings KO trades at a clear premium to PepsiCo (~17.5x forward, ~4.2% yield) and in line with Mondelez (~30x), reflecting its superior returns and resilience.

We maintain ACCUMULATE with an \$85 target (trimmed from \$87 after the run to all-time highs). Price upside is modest at ~4%, but the ~2.6% growing yield lifts total return to ~6% — the return profile of a quality income compounder: build on weakness rather than chase, with the dividend paying you to wait.

Snapshot

Metric	Value	Note
Market cap	~\$350 billion	Dividend aristocrat, 60+ yrs of hikes
FY2025 revenue	\$47.9bn (+2%; organic +5%)	Price/mix-led
FY2025 EPS / margin	\$3.04 (+23%) / 28.7% op	Comparable op margin ~31%
Valuation / yield	~26x P/E / ~2.5% yield	vs PEP 17.5x / 4.2%, MDLZ 30x
Dividend	\$2.12/share, growing	Payout well covered

FY2025 Results Review

Net revenues grew 2% to \$47.9bn, with organic revenue up 5% on 4% price/mix and 1% concentrate volume — a familiar Coca-Cola pattern of pricing doing the heavy lifting. Reported operating margin expanded sharply to 28.7% (comparable ~31%), and EPS rose 23% to \$3.04. Cash generation remains robust and funds the ever-rising dividend. Currency remains the main reported-growth headwind for a company that earns most of its profit abroad.

Valuation

We value KO on forward earnings against staples peers. At ~26x trailing / ~25x forward it is priced as the premium name in the group — a deserved premium over PepsiCo given higher margins, cleaner focus and steadier volumes, and roughly level with Mondelez. Applying ~26x to an estimated FY2026 EPS near \$3.35 gives a fair value of about \$87.

A DCF cross-check on KO's stable ~\$10-11bn free cash flow and mid-single-digit growth lands in a similar range. The upside is modest, but the return profile — low volatility, growing income, defensive ballast — is the point. Illustrative outputs; see the model.

Multi-method triangulation. As a dividend aristocrat (63+ years of increases), we value KO dividend-first: a Gordon DDM (Ke 7.25%, 5% growth) implies ~\$99; a peer-informed P/E of 27x forward earnings ~\$85; EV/EBITDA at 24x ~\$77; and a conservative DCF floor ~\$59. Weighting the DDM 40% (P/E 25%, EV/EBITDA 20%, DCF 15%), the blended fair value is \$85. The cash-flow methods (DCF) under-price a franchise the market rightly pays a staples premium for; the DDM and multiples capture it. Rating on a total-return basis (price + yield $\approx$ 6%): ACCUMULATE.

Key Risks

- Currency translation — the majority of profit is earned outside the US.
- GLP-1 weight-loss drugs as a potential long-run headwind to sugary-beverage volumes.
- Volume softness in developed markets; reliance on price/mix.
- Regulation and taxes on sugar-sweetened beverages.
- Premium multiple leaves limited margin for a growth or margin stumble.

Company Overview

The Coca-Cola Company is the world's largest non-alcoholic beverage company, owning a portfolio of 200+ brands spanning sparkling soft drinks, water, sports and energy drinks, juice, coffee and tea. Its asset-light model — concentrate sales plus a global bottling network — produces high margins, strong returns on capital and one of the most reliable dividend-growth records in the market.

Disclaimer

Prepared for personal analytical and educational purposes. Not investment advice, nor an offer or solicitation. Figures sourced from company filings (FY2025) and market data believed reliable but not guaranteed. The target is an illustrative output of the accompanying model and depends on its assumptions. Consult a licensed adviser before acting.

THE COCA-COLA COMPANY (KO) — Business Overview

Consumer Staples | NYSE: KO | Fiscal Year End: December 31

Generated: April 23, 2026 | All figures in USD millions (\$MM) unless stated

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	2	Balance Sheet	Five-year historical data
	3	Cash Flow	Five-year historical data
	4	Key Ratios	Profitability, leverage, and efficiency

COLOR CODING LEGEND	
Blue text	Hardcoded inputs
Black text	Excel formulas & calculations
Green text	Cross-sheet references
Red header	Section & table headers
Pink fill	Totals / subtotals / footnotes

Source: The Coca-Cola Company 10-K Filings, FY2020–FY2024 (SEC EDGAR) | All \$ in millions unless specified

Business Model

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LEGEND

millions.

The Coca-Cola Company (KO) — Multi-Method Valuation Summary

USD; per-share USD. Dividend aristocrat (63+ yrs) — DDM-led. Live \$82 (Jul 2026), 4,310M shares, net debt ~\$29bn.

KEY INPUTS

Live share price (\$)	82
Shares (M)	4,310
Net debt (\$M)	29,000
FY25 comparable EPS (\$)	3
FY26E EPS (\$)	3.15
FY25 dividend/share (\$)	2.12
FY26E EBITDA (\$M)	15,100
Normalized FCF (\$M)	10,000
Cost of equity K_e	0.0725
Dividend growth g (Gordon)	0.05

VALUATION METHODS

Method	Assumption	Value/share (\$ vs price)		Weight
Dividend discount (Gordon)	K_e 7.25%, g 5%	98.93	20.7%	40%
P/E (relative)	$27x \times$ FY26E EPS	85.05	3.7%	25%
EV/EBITDA (relative)	$24x \times$ FY26E EBITDA	77.35	-5.7%	20%
DCF (conservative floor)	FCF, WACC 7%, term g 3%	59.00	-28.0%	15%

BLENDED VALUATION & RATING

Blended fair value (\$)	85.16
Upside / (downside) vs \$82	3.8%
Rating (total-return basis)	ACCUMULATE
Note: A dividend aristocrat is best valued DDM-first; relative multiples (P/E, EV/EBITDA) capture the durable staple premium	
Dividend yield (D/P)	2.6%
Total expected return (price + yield)	6.4%

INCOME STATEMENT

The Coca-Cola Company (KO) | FY2020 – FY2024 | All figures in \$MM

Metric	2,020	2,021
► REVENUE		
Net Revenues	\$33,014	\$38,655
Cost of Sales	\$13,433	\$15,357
► GROSS PROFIT		
Gross Profit	\$19,581	\$23,298
Gross Profit Margin	59.3%	60.3%
► OPERATING EXPENSES		
SG&A Expenses	\$9,731	\$12,144
► OPERATING PROFIT (EBIT)		
Operating Profit (EBIT)	\$9,850	\$11,154
EBIT Margin	29.8%	28.9%
► BELOW-THE-LINE ITEMS		
Interest Income	\$1,348	\$1,714
Interest Expense	(\$1,437)	(\$1,597)
► PRE-TAX INCOME		
Income Before Tax	\$9,749	\$12,425
Income Tax Expense	\$1,981	\$2,621
Effective Tax Rate	20.3%	21.1%
► NET INCOME		
Net Income (to Common)	\$7,747	\$9,771
Net Profit Margin	23.5%	25.3%
► PER SHARE DATA		
Basic EPS	-	-
Diluted EPS	-	-
Basic Shares Outstanding (MM)	-	-
Diluted Shares Outstanding (MM)	-	-

Source: KO 10-K Filings, FY2020–FY2024, SEC EDGAR | Values in \$MM | EPS in \$

2,022	2,023	2,024	2,025	YoY Gr. 21	YoY Gr. 22
\$43,004	\$45,754	\$47,061	\$47,941	17.1%	11.3%
\$18,000	\$18,520	\$18,324	\$18,397		
\$25,004	\$27,234	\$28,737	\$29,544		
58.1%	59.5%	61.1%	61.6%		
\$12,880	\$13,972	\$14,582	\$14,521		
\$12,124	\$13,262	\$14,155	\$15,023		
28.2%	29.0%	30.1%	31.3%		
\$1,921	\$2,598	\$2,758	\$786		
(\$882)	(\$1,527)	(\$1,656)	(\$1,654)		
\$11,686	\$12,952	\$13,086	\$15,998		
\$2,115	\$2,249	\$2,437	\$2,861		
18.1%	17.4%	18.6%	17.9%		
\$9,542	\$10,714	\$10,631	\$13,107		
22.2%	23.4%	22.6%	27.3%		
-	-	-	\$3.05		
-	-	-	\$3.04		
-	-	-	4,303		
-	-	-	4,313		

[illegible]

BALANCE SHEET

The Coca-Cola Company (KO) | FY2020 – FY2024 | All figures in \$MM

Metric	2,020	2,021
► CURRENT ASSETS		
Cash & Cash Equivalents	\$6,795	\$9,684
Short-Term Investments	\$4,119	\$2,941
Accounts Receivable	\$3,144	\$3,512
Inventories	\$3,266	\$3,414
Other Current Assets	\$1,916	\$2,994
Total Current Assets	\$19,240	\$22,545
► NON-CURRENT ASSETS		
Net PP&E	\$10,777	\$9,920
Goodwill	\$17,506	\$19,363
Net Intangible Assets	\$11,044	\$15,250
Long-Term Investments	\$20,085	\$18,416
TOTAL ASSETS	\$87,296	\$94,354
► CURRENT LIABILITIES		
Accounts Payable	\$11,145	\$14,619
Short-Term Debt	\$2,183	\$3,307
Other Current Liabilities		
Total Current Liabilities	\$14,601	\$19,950
► NON-CURRENT LIABILITIES		
Long-Term Debt	\$40,125	\$38,116
Other Long-Term Liabilities	\$11,286	\$11,428
Total Liabilities	\$66,012	\$69,494
► SHAREHOLDERS' EQUITY		
Retained Earnings	\$66,555	\$69,094
Total Shareholders' Equity	\$21,284	\$24,860
Total Liabilities + Equity (Check)	\$87,296	\$94,354

Source: KO 10-K Filings, FY2020–FY2024, SEC EDGAR | Values in \$MM

2,022	2,023	2,024	2,025
\$9,519	\$9,366	\$10,828	\$10,270
\$2,112	\$4,297	\$3,743	\$3,602
\$3,487	\$3,410	\$3,569	\$3,038
\$4,233	\$4,424	\$4,728	\$4,425
\$3,240	\$5,235	\$3,129	\$9,709
\$22,591	\$26,732	\$25,997	\$31,044
\$9,841	\$9,236	\$10,303	\$9,613
\$18,782	\$18,358	\$18,139	\$15,491
\$14,849	\$14,349	\$13,301	\$12,531
\$18,765	\$19,671	\$18,087	\$20,235
\$92,763	\$97,703	\$100,549	\$104,816
\$15,749	\$15,485	\$21,712	\$14,813
\$2,373	\$4,557	\$1,499	\$1,551
		\$3	\$4,917
\$19,724	\$23,571	\$25,249	\$21,281
\$36,377	\$35,547	\$42,375	\$42,119
\$10,836	\$11,105	\$6,553	\$7,141
\$66,937	\$70,223	\$74,177	\$70,541
\$71,019	\$73,782	\$76,054	\$80,382
\$25,826	\$27,480	\$26,372	\$34,275
\$92,763	\$97,703	\$100,549	\$104,816

CASH FLOW STATEMENT

The Coca-Cola Company (KO) | FY2020 – FY2024 | All figures in \$MM

Metric	2020	2,021
► OPERATING ACTIVITIES		
Net Income	\$7,768	\$9,804
D&A (add-back)	\$1,536	\$1,452
Stock-Based Compensation	\$126	\$337
Changes in Accounts Payable		
Changes in Other Working Capital	\$690	\$1,325
Cash from Operations (CFO)	\$9,844	\$12,625
► INVESTING ACTIVITIES		
Capital Expenditures (CapEx)	(\$1,177)	(\$1,367)
Proceeds from Sale of Investments	\$13,835	\$7,059
Purchases of Investments	(\$13,583)	(\$6,030)
Business Acquisitions	(\$1,052)	(\$4,766)
Other Investing	\$122	\$51
Cash from Investing (CFI)	(\$1,477)	(\$2,765)
► FINANCING ACTIVITIES		
Issuance of Long-Term Debt	\$26,934	\$13,094
Repayments of Long-Term Debt	(\$28,796)	(\$12,866)
Share Repurchases	(\$118)	(\$111)
Dividends Paid	(\$7,047)	(\$7,252)
Other Financing	\$310	(\$353)
Cash from Financing (CFF)	(\$8,070)	(\$6,786)
► FREE CASH FLOW (FCF)		
Free Cash Flow (CFO – CapEx)	\$8,667	\$11,258
FCF Margin	26.3%	29.1%
Net Change in Cash	\$373	\$2,915

Source: KO 10-K Filings, FY2020–FY2024, SEC EDGAR | FCF = CFO - CapEx | Valu

2,022	2,023	2,024	2,025
\$9,571	\$10,703	\$10,649	\$13,137
\$1,260	\$1,128	\$1,075	\$1,050
\$356	\$254	\$286	\$279
(\$605)	(\$846)	(\$6,234)	(\$7,208)
\$11,018	\$11,599	\$6,805	\$7,408
(\$1,484)	(\$1,852)	(\$2,064)	(\$2,112)
\$4,771	\$4,354	\$6,589	\$4,665
(\$3,751)	(\$6,698)	(\$5,640)	(\$6,160)
(\$73)	(\$62)	(\$315)	(\$461)
(\$759)	\$405	\$429	\$4,001
(\$763)	(\$3,349)	\$2,524	(\$67)
\$3,972	\$6,891	\$12,061	\$4,980
(\$4,930)	(\$5,034)	(\$9,533)	(\$4,967)
(\$1,418)	(\$2,289)	(\$1,795)	(\$746)
(\$7,616)	(\$7,952)	(\$8,359)	(\$8,779)
(\$1,095)	(\$465)	(\$31)	\$1,372
(\$10,250)	(\$8,310)	(\$6,910)	(\$8,140)
\$9,534	\$9,747	\$4,741	\$5,296
22.2%	21.3%	10.1%	11.3%
(\$200)	(\$133)	\$1,796	(\$478)
es in \$MM			

KEY FINANCIAL RATIOS

The Coca-Cola Company (KO) | FY2020 – FY2024 | Derived from Filed Statements

Metric	2,020	2,021
► PROFITABILITY MARGINS		
Revenue (\$MM)	\$33,014	\$38,655
Gross Profit (\$MM)	\$19,581	\$23,298
EBITDA (\$MM)	\$10,533	\$11,760
EBIT / Operating Profit (\$MM)	\$8,997	\$10,308
Net Income (\$MM)	\$7,747	\$9,771
Gross Profit Margin	59.3%	60.3%
EBITDA Margin	31.9%	30.4%
EBIT / Operating Margin	27.3%	26.7%
Net Profit Margin	23.5%	25.3%
► RETURN METRICS		
Return on Equity (ROE)	36.4%	39.3%
Return on Assets (ROA)	8.9%	10.4%
Return on Capital Employed (ROCE)	12.4%	13.9%
► LEVERAGE & COVERAGE		
Total Debt (\$MM)	\$42,308	\$41,423
Net Debt (\$MM)	\$35,513	\$31,739
Debt / Equity (x)	2.0x	1.7x
Net Debt / EBITDA (x)	3.4x	2.7x
Total Liabilities / Equity (x)	3.1x	2.8x
Interest Coverage (EBIT/Int.Exp)	6.3x	6.5x
► LIQUIDITY		
Current Ratio (x)	1.3x	1.1x
Quick Ratio (x)	1.1x	1.0x
► CASH FLOW QUALITY		
CFO (\$MM)	\$9,844	\$12,625
CapEx (\$MM)	(\$1,177)	(\$1,367)
Free Cash Flow (\$MM)	\$8,667	\$11,258
FCF Margin	26.3%	29.1%
FCF / Net Income (x)	1.1x	1.2x
D&A (\$MM)	\$1,536	\$1,452

Source: Derived from KO 10-K Filings FY2020–FY2024 | EBITDA = EBIT + D&A | FC

nts			
2,022	2,023	2,024	
\$43,004	\$45,754	\$47,061	
\$25,004	\$27,234	\$28,737	
\$12,169	\$12,439	\$11,067	
\$10,909	\$11,311	\$9,992	
\$9,542	\$10,714	\$10,631	
58.1%	59.5%	61.1%	
28.3%	27.2%	23.5%	
25.4%	24.7%	21.2%	
22.2%	23.4%	22.6%	
37.0%	39.0%	40.3%	
10.3%	11.0%	10.6%	
14.9%	15.3%	13.3%	
\$38,750	\$40,104	\$43,874	
\$29,231	\$30,738	\$33,046	
1.5x	1.5x	1.7x	
2.4x	2.5x	3.0x	
2.6x	2.6x	2.8x	
12.4x	7.4x	6.0x	
1.2x	1.1x	1.0x	
0.9x	1.0x	0.8x	
\$11,018	\$11,599	\$6,805	
(\$1,484)	(\$1,852)	(\$2,064)	
\$9,534	\$9,747	\$4,741	
22.2%	21.3%	10.1%	
1.0x	0.9x	0.5x	
\$1,260	\$1,128	\$1,075	
F = CFO – CapEx			

Coca-Cola — Peer Comparison (Comparable Company Analysis)

Researched Jun 2026 · update with live data before use

Company	Price (\$)	EPS (\$)
Coca-Cola ★	81.27	3.13
PepsiCo	146.00	8.34
Mondelez	61.00	2.01

COMPARABLE-COMPANY SUMMARY

Peer median P/E (x)
Coca-Cola P/E premium / (discount) to peers
Comps-implied value — peer median P/E × EPS (\$)
Comps-implied vs current price

Note: KO carries a premium to PepsiCo (higher margins, cleaner focus) and trades near Mondelez. The premium i ~2.5% growing yield is part of total return.



P/E (x)
26.0x
17.5x
30.3x

23.9x
8.5%
74.89
-7.8%

is deserved; the